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VANGUARD

2022 Fourth Quarter Results

Investor Conference

February 21, 2023

Agenda

- Welcome
- 4Q22 Consolidated Financial Results
- Remark
- Q & A

Disclaimer

This presentation material contains certain forward-looking statements that are based on current expectations and are subject to known and unknown risks and uncertainties that could cause actual results to differ materially from those expressed or implied by such statements.

4Q22 Result Highlights

Amount : NT$ Million	4Q22	3Q22	4Q21
	Amount	Amount	Amount
Net Revenue	9,573	13,328	12,738
Net Income	2,479	3,823	3,716
EPS (NT$)	1.47	2.28	2.25
Cash and Financial Instruments	34,843	34,444	20,173
Equity	45,351	42,772	35,165
Total Wafers Shipped (Kpcs)	441	634	752

Statements of Comprehensive Income

Amount: NT$Million *Selected Items from Statements of Comprehensive Income*	4Q22		3Q22		4Q21		QoQ	YoY
	Amount	%	Amount	%	Amount	%	%	%
Net Revenue	9,573	100.0	13,328	100.0	12,738	100.0	(28.2)	(24.8)
Cost of Revenue	(5,819)	(60.8)	(7,330)	(55.0)	(6,675)	(52.4)	(20.6)	(12.8)
Gross Profit	3,755	39.2	5,998	45.0	6,063	47.6	(37.4)	(38.1)
Operating Expenses	(1,292)	(13.5)	(1,552)	(11.6)	(1,463)	(11.5)	(16.8)	(11.7)
Operating Income	2,462	25.7	4,445	33.4	4,599	36.1	(44.6)	(46.5)
Net Non-operating Income	445	4.6	319	2.4	35	0.3	39.7	1,164.7
Income before Income Tax	2,907	30.4	4,764	35.7	4,634	36.4	(39.0)	(37.3)
Net Income	2,479	25.9	3,823	28.7	3,716	29.2	(35.2)	(33.3)
Diluted EPS (NT$)	1.47		2.28		2.25		(35.5)	(34.7)

Yearly Operating Results Comparison

Amount : NT$Million	2022		2021		YoY
Selected Items from Statements of Comprehensive Income	Amount	%	Amount	%	%
Net Revenue	51,694	100.0	43,951	100.0	17.6
Cost of Revenue	(27,771)	(53.7)	(24,799)	(56.4)	12.0
Gross Profit	23,924	46.3	19,152	43.6	24.9
Operating Expenses	(6,117)	(11.8)	(5,050)	(11.5)	21.1
Operating Income	17,807	34.5	14,102	32.1	26.3
Net Non-operating Income	1,044	2.0	188	0.4	455.7
Income before Income Tax	18,851	36.5	14,290	32.5	31.9
Net Income	15,280	29.6	11,820	26.9	29.3
Diluted EPS (NT$)	9.07		7.14		27.0

Balance Sheets & Key Indices

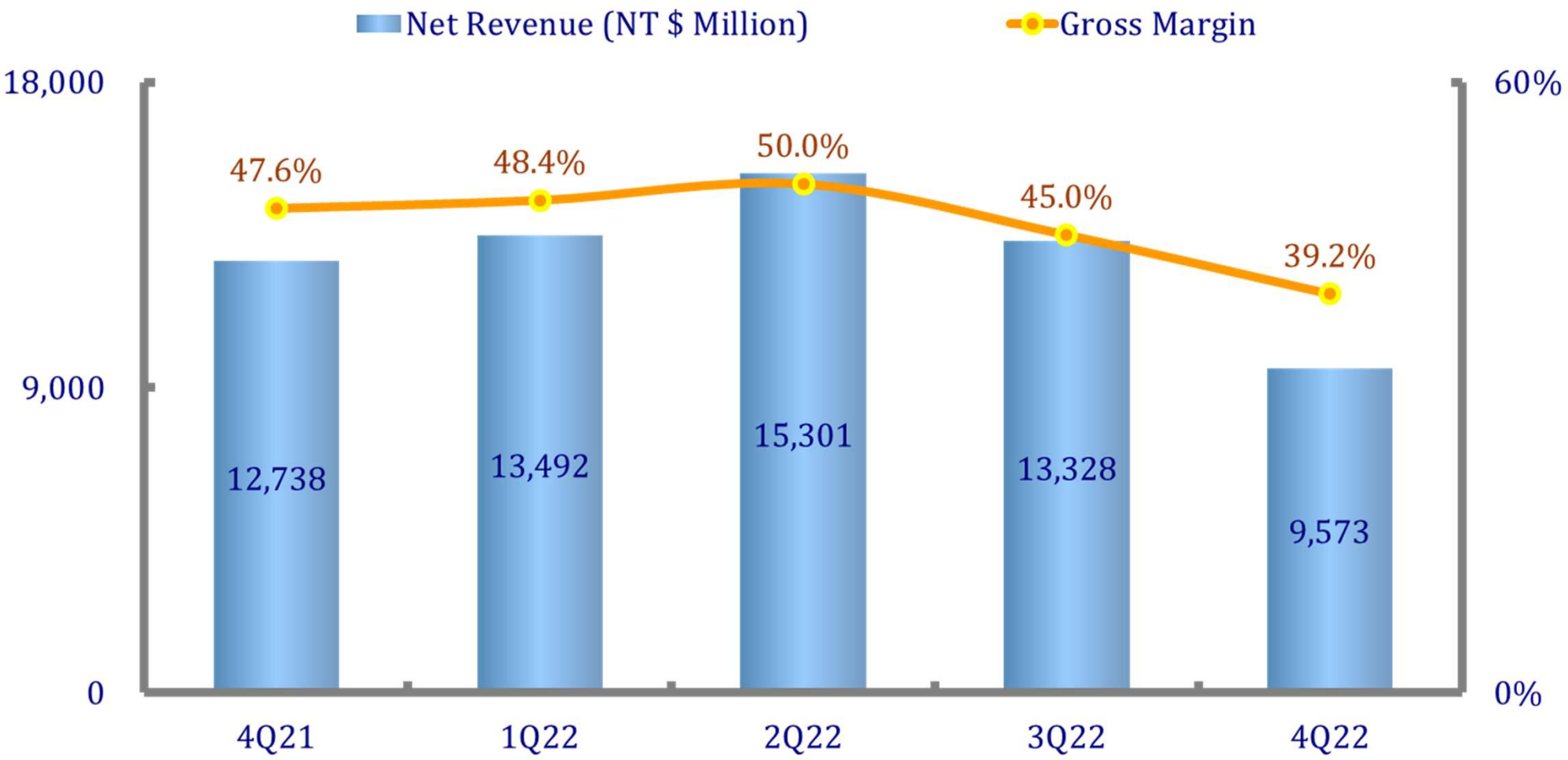
Selected Items from Balance Sheets	Dec. 31, 2022		Sep. 30, 2022		Dec. 31, 2021	
	Amount	%	Amount	%	Amount	%
Total Assets	**100,940**	**100.0**	**98,689**	**100.0**	**65,548**	**100.0**
Cash & Financial Instruments	34,843	34.5	34,444	34.9	20,173	30.8
Accounts Receivable	4,962	4.9	7,465	7.6	9,452	14.4
Inventories	5,880	5.8	4,844	4.9	4,030	6.1
Total Current Assets	**46,255**	**45.8**	**47,430**	**48.1**	**34,188**	**52.2**
Property, Plant and Equipment	**38,504**	**38.2**	**37,527**	**38.0**	**23,541**	**35.9**
Notes and Accounts Payable	1,377	1.4	1,607	1.6	1,437	2.2
Accrued Liabilities and Others	19,717	19.5	18,070	18.3	13,539	20.7
Total Current Liabilities	**21,093**	**20.9**	**19,677**	**19.9**	**14,976**	**22.8**
Total Non-current Liabilities	**34,496**	**34.2**	**36,240**	**36.7**	**15,406**	**23.5**
Total Equity	**45,351**	**44.9**	**42,772**	**43.3**	**35,165**	**53.6**
Key Indices						
A/R Turnover Days	**51**		**55**		**63**	
Inventory Turnover Days	**65**		**55**		**52**	
Debt Ratio	**55%**		**57%**		**46%**	
Current Ratio	**219%**		**241%**		**228%**	
Net Working Capital	**25,162**		**27,753**		**19,212**	

Cash Flows

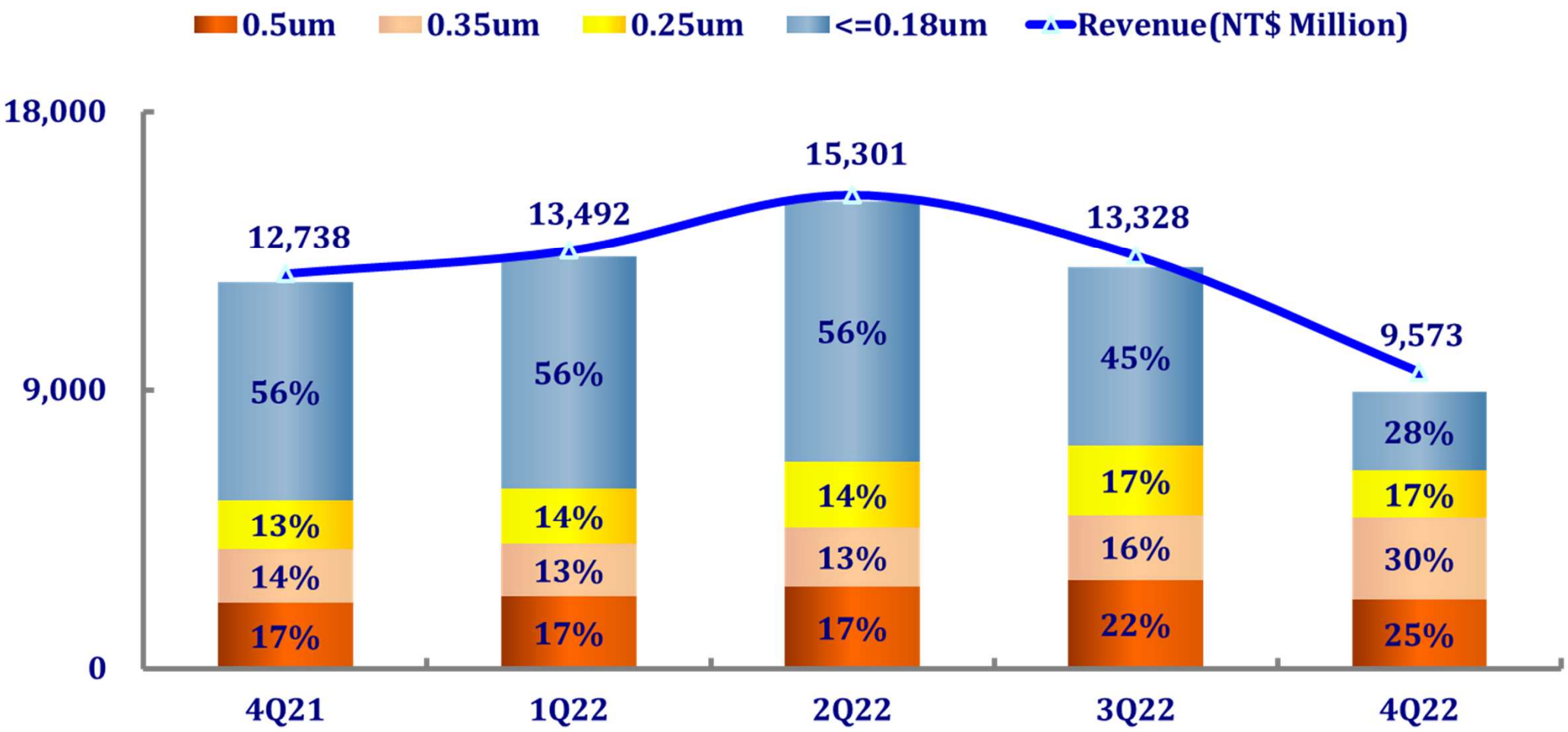
Amount : NT$ Million Selected Items from Cash Flows	4Q22 Amount	3Q22 Amount	4Q21 Amount
Cash - Beginning of Period	***30,128***	***37,512***	***11,317***
– Income before Income Tax	2,907	4,764	4,634
– Depreciation & Amort.	1,510	1,491	1,049
– Changes of Notes and Accounts Receivable	2,431	2,759	(1,622)
– Changes of Inventories	(1,036)	(209)	(222)
– Prepayment from Customers	284	131	0
– Income Taxes Paid	(61)	(1,311)	(3)
– Changes of Notes and Accounts Payable/ Others	(1,109)	(271)	13,111
From Operation	**4,926**	**7,353**	**5,148**
– Increase in Financial Assets	(1,339)	(3,149)	(15)
– Acquisitions of PP&E and Intangible Assets	(2,208)	(4,473)	(5,273)
– Proceeds from Disposal of L-T Stock Investments	78	0	0
– Refundable Deposit and Others	(817)	(1)	(19)
From Investment	**(4,285)**	**(7,624)**	**(5,307)**
– Decrease in Short-term Loans	0	0	(1,514)
– Issuance of Bonds	0	0	5,000
– Increase in Guarantee Deposits Received from Customers	167	30	1,581
– Cash Dividends	0	(7,375)	0
– Decrease in Lease Liabilities	(53)	(58)	(51)
– Others	0	0	234
From Financing	**114**	**(7,403)**	**5,250**
Net Increase (Decrease) in Cash	**754**	**(7,674)**	**5,091**
Effect of Exchange Rate Changes	(25)	289	(22)
Cash - End of Period	***30,857***	***30,128***	***16,387***

Remarks

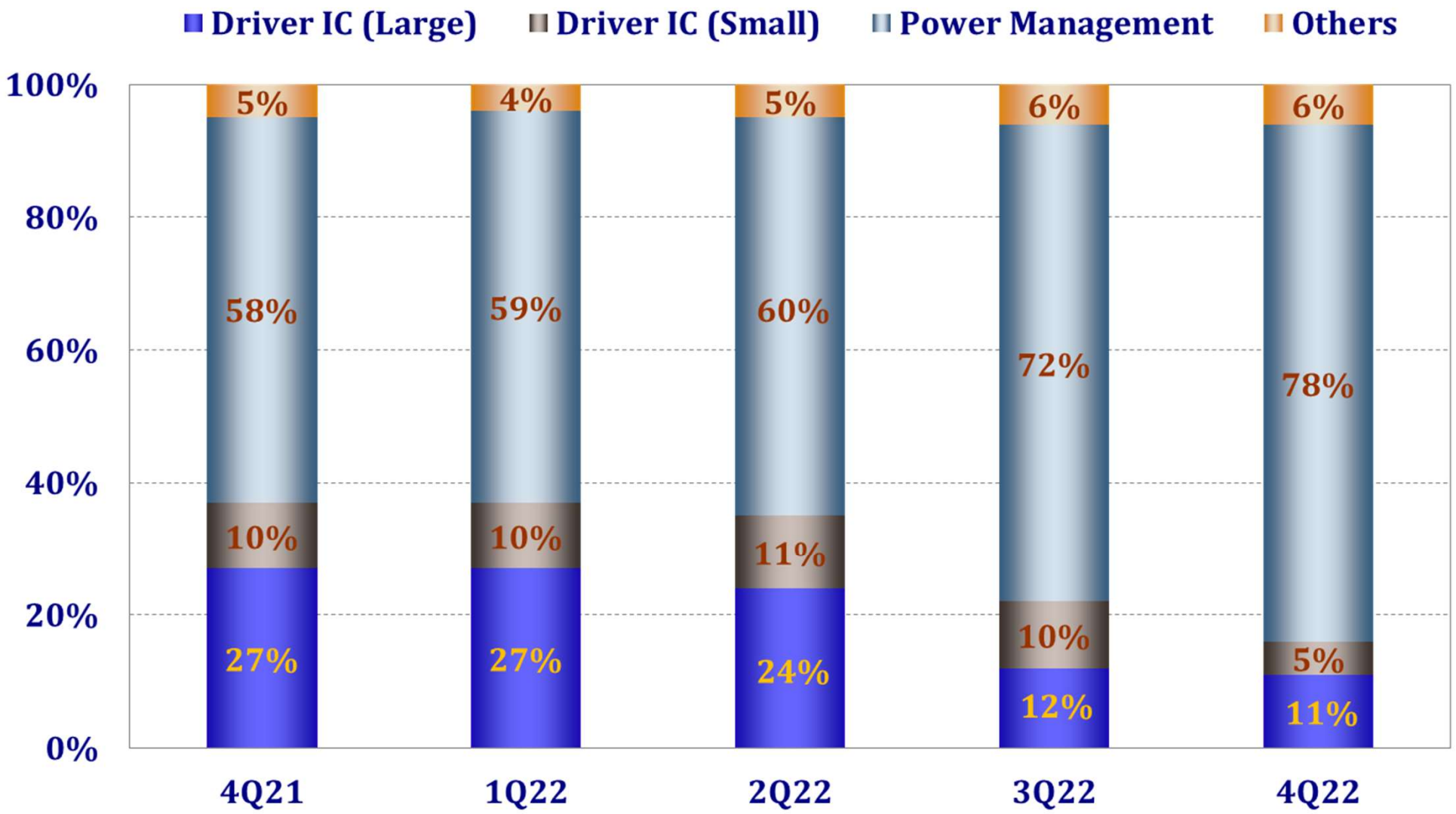
Net Revenue & Gross Margin



Revenue Breakdown by Technology



Revenue Breakdown by Platforms



4Q22 Result Summary & Guidance Comparison

4Q22	Result	Guidance
Revenue	NT$9,573M	to be between NT$ 9.5 billion and NT$ 9.9 billion
Gross Profit Margin	39.2%	to be between 39% and 41%
Operating Profit Margin	25.7%	to be between 25.5% and 27.5%

1Q23 Guidance

- Revenue to be between NT$ 7.9 billion and NT$ 8.3 billion;
- Gross profit margin to be between 29% and 31%;
- Operating profit margin to be between 14.5% and 16.5%.

Q & A

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